



Fast and Fearless: Air India Meets American Food Strategic Partnership Case Study



Course : Strategic Management

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Presenter : Vikas Kapse

Agenda

- 1** **Executive summary**
- 2** **Introduction**
- 3** **Current state analysis**
- 4** **Strategic option**
- 5** **Implementation plan**
- 6** **Risk management**
- 7** **Conclusion**
- 8** **Recommendation**

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Executive Summary



Purpose: To present the strategic partnership between Air India and McDonald's, detailing how this collaboration aims to attract international customers, enhance in-flight dining and leverage the strengths of both brands.

Goals:

- Explain the benefits of the partnership.
- Highlight the strategies for operational efficiencies and cost savings.
- Demonstrate how customer value is increased through improved dining experiences and personalized services.

Key Points:

- **Partnership Benefits:** Combining Air India's hospitality with McDonald's global brand to create a unique in-flight dining experience.
- **Operational Efficiencies:** Achieving cost savings through bulk purchasing, streamlined logistics, and shared marketing efforts.
- **Customer Value:** Offering a gourmet, health-conscious menu, personalized dining options, and seamless integration of both brands to enhance the travel experience.
- **Strategic Marketing:** Joint campaigns to promote the partnership and attract new customers.

The partnership between Air India and McDonald's enhances in-flight dining with gourmet, personalized meal options, leveraging McDonald's global brand for broader customer appeal. Operational efficiencies and joint marketing campaigns drive cost savings and increase international passenger engagement.

A High-Flying Alliance: Air India and McDonald's Collaboration



- ❑ **Founded:** Air India was established in 1932 and is recognized as the country's premier airline and Known for its traditional hospitality, Air India has built a strong brand image within India.
- ❑ **Network:** The airline serves over 60 international destinations, making it a significant player in the aviation industry.
- ❑ **Objective:** The primary objective of Air India is to enhance in-flight and lounge services to attract more international passengers. The airline aims to differentiate itself by offering unique value propositions that go beyond lower fares and additional routes.
- ❑ **Current Challenges:** Despite its strong domestic reputation, Air India faces stiff competition from global airlines. This competitive pressure has led to stagnant international bookings.



- ❑ **Founded:** McDonald's was founded in 1940 and has grown to become the world's largest fast-food chain.
- ❑ **Network:** Recently, McDonald's has been working on diversifying its menu to include healthier and more premium options. This shift aims to reposition McDonald's from a fast-food chain to a premium food provider.
- ❑ **Objective:** McDonald's goal is to attract a broader and more discerning customer base by expanding its brand perception beyond fast food. The company aims to offer higher-quality, diverse food options that cater to health-conscious consumers.
- ❑ **Cultural Adaptation:** McDonald's has experience in localizing its menu to suit diverse cultural preferences, exemplified by the successful introduction of the McAloo Tikki burger in India.

The strategic partnership between Air India and McDonald's aims to leverage their respective strengths to enhance the in-flight experience and attract a broader international customer base.

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Merging Missions: A Unified Vision for Excellence



Mission

To enhance international passenger experience by offering superior service quality, improving in-flight dining, and expanding the airline's global reach while maintaining the essence of Indian hospitality.

Vision

To be the airline of choice, known for its traditional Indian hospitality, and to become a global leader in providing exceptional in-flight and lounge services.



Mission

To diversify and enhance its menu with healthier and more premium options, repositioning the brand from fast food to premium food provider and expanding its brand perception globally.

Vision

To be the leading global food service retailer offering premium and diverse food options that cater to a broader, health-conscious, and discerning customer base.

Enable Air India to elevate its in-flight dining experience, attract a broader international customer base, and reinforce its reputation for exceptional service and traditional hospitality.

Journey of Excellence: Milestones in Air India's Legacy

1932

India's first airline was launched by JRD Tata.



1962

World's first airline with a full jet-engine fleet



1971

Introduced luxury travel with "The Palace in the Sky" on a Boeing 747



1993

First nonstop flight connecting New York and Delhi



2017

First around-the-world flight with an all-women crew



AIR INDIA

Air India's legacy is marked by pioneering milestones, from its inception in 1932 to innovative achievements in aviation, including luxury travel and historic flights, showcasing a commitment to excellence and continuous evolution

Forging New Horizons



1932

Air India was established as India's premier airline, known for its traditional hospitality.



2022

Campbell Wilson became the CEO of Air India, facing stagnant international bookings and fierce competition.



**2024
(Now)**

Under Wilson's leadership, Air India is exploring a partnership with McDonald's to enhance in-flight dining and attract international passengers.



1940

McDonald's was established as the world's largest fast-food chain.



1998

McDonald's introduced the McAloo Tikki burger in India, leveraging local flavors to cater to Indian tastes.



**Pre
2024**

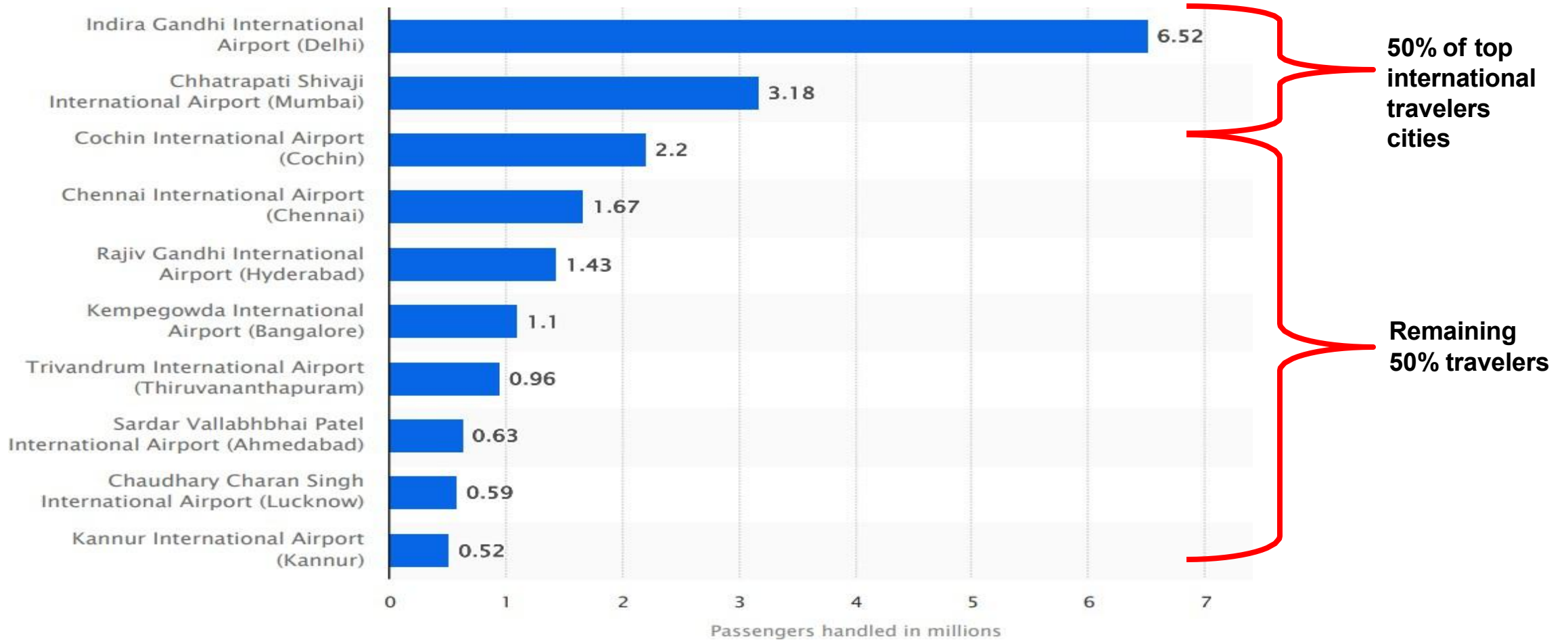
McDonald's has been working on diversifying its menu to include healthier and more premium options, aiming to reposition itself as a premium food provider

Moving forward, Air India and McDonald's should focus on detailed planning and execution of the pilot program, ensuring that the customized menu offerings meet high standards of quality and safety.

Agenda

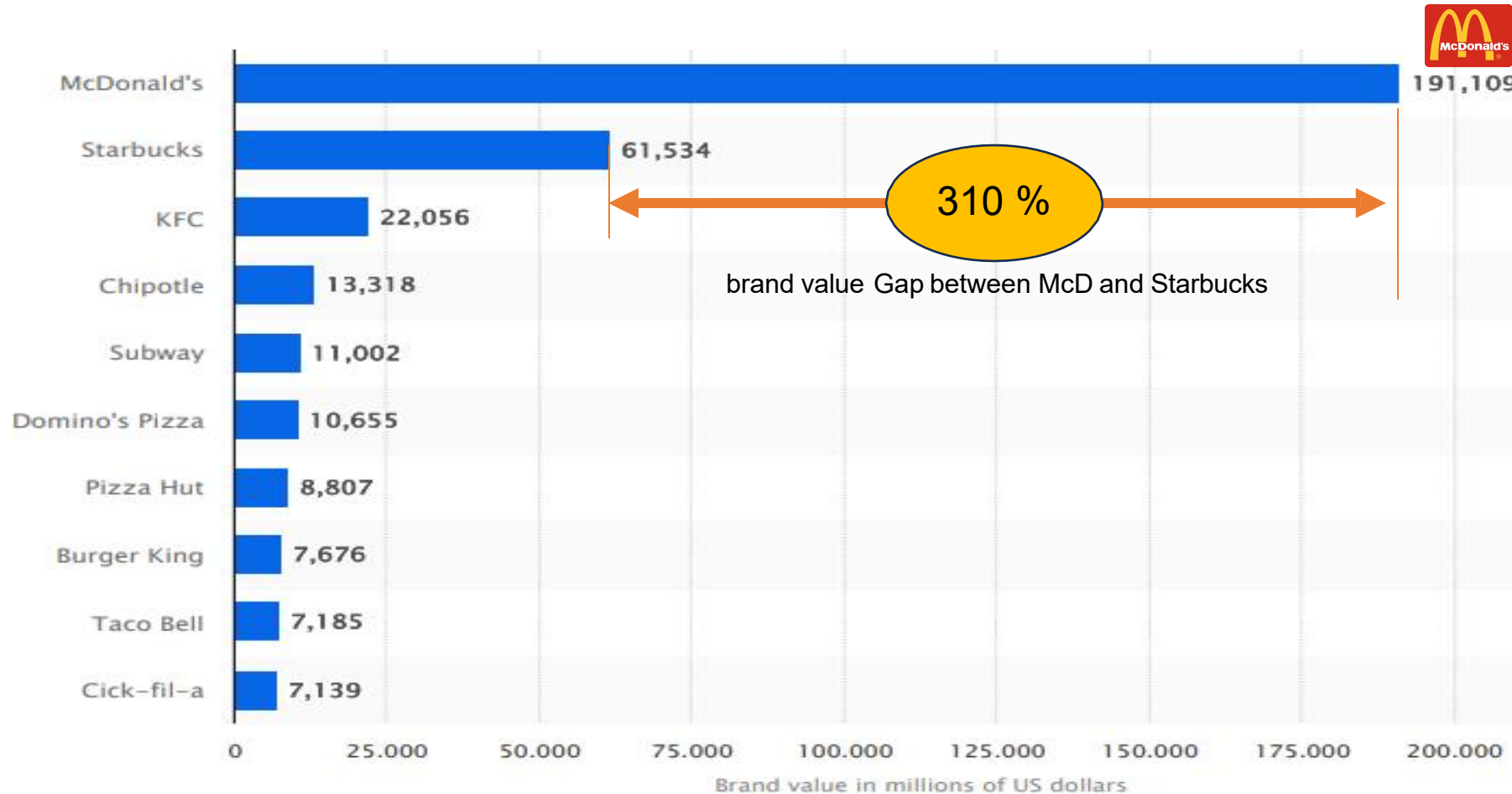
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Major cities for International travel



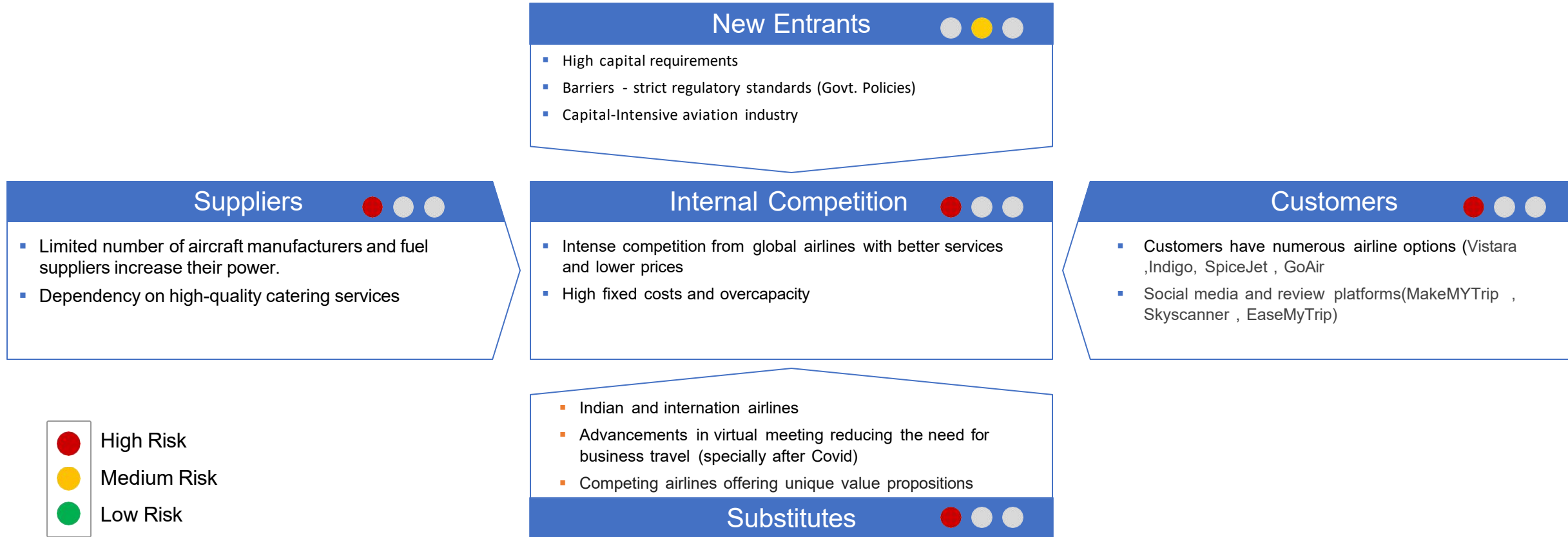
This data highlights the dominance of Delhi and Mumbai as major hubs for international travel in India, with other airports serving regional international traffic to a lesser extent.

The Titans of Fast Food in 2023



McDonald's dominates the fast food market with the highest brand value, with Starbucks and KFC as notable contenders.

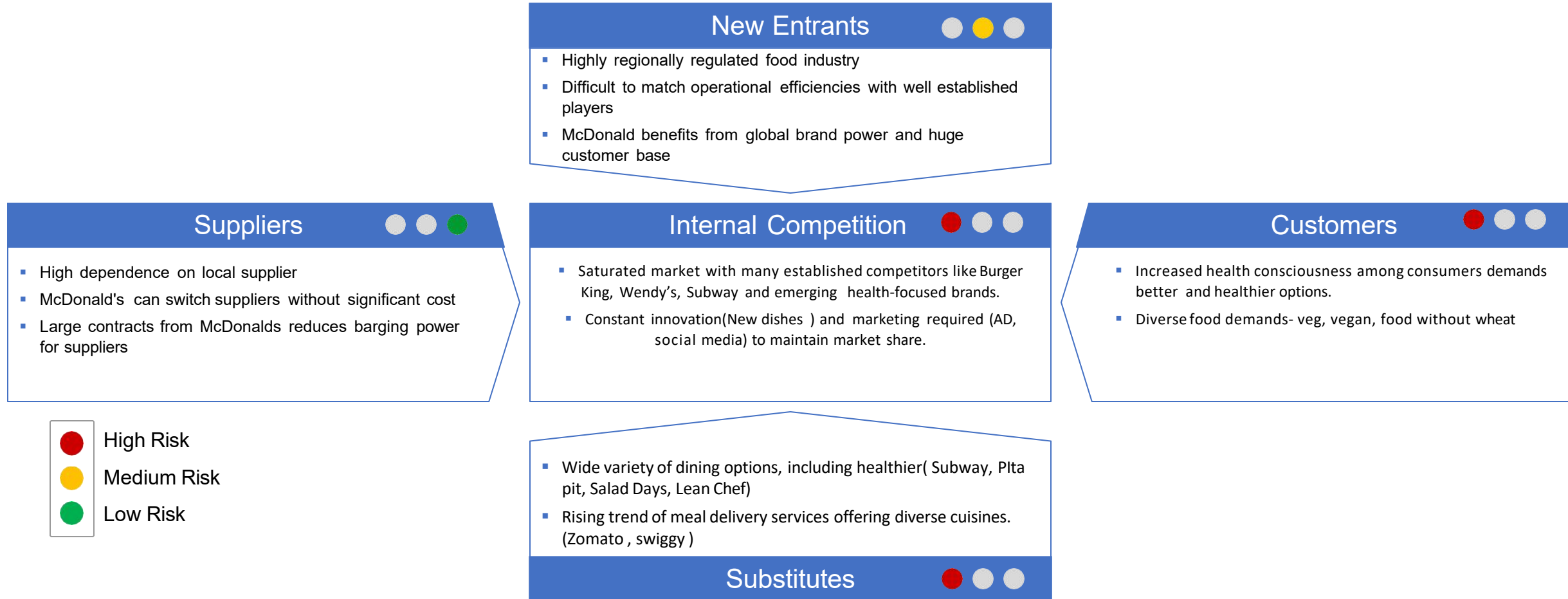
Porter's Five Forces



Air India faces high risks from powerful suppliers, intense global competition, and numerous customer choices, while navigating significant industry barriers and capital requirements.



Porter's Five Forces



McDonald's navigates a highly competitive and regulated market by leveraging its global brand power and supplier flexibility, but faces significant risks from increasing health-conscious consumer demands and strong internal competition

SWOT Analysis

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- ❑ Growing Middle Class: "Air India thrives on the aspirations of India's growing middle class."
- ❑ Indian Hospitality: "Airline is known for traditional Indian Hospitality"
- ❑ Government Schemes: "Air India expands reach through government-backed UDAN initiatives."
- ❑ 60+ International destinations

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- ❑ Poor Customer Experience – Technical Issues and frequent flight delays
- ❑ High Operating Costs: "Air India battles high costs from rising fuel prices."
- ❑ Infrastructure Challenges: "Poor airport infrastructure hampers Air India's efficiency. "
- ❑ Intense Competition: "Air India faces fierce competition from private airlines."

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- ❑ Improvement in-Flight Dining Experience
- ❑ International Expansion: "Air India can expand in South Asia to meet rising travel demand."
- ❑ Low-cost Carrier Growth: "Air India can target budget travelers with low-cost services."
- ❑ Technological Advancements: "Air India can enhance operations with advanced technology."

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- ❑ Intense Competition: "Air India faces strong competition."
- ❑ High Fuel Prices: "Fuel price volatility strains profitability."
- ❑ COVID-19 Impact: "The pandemic reduced demand and caused financial instability."
- ❑ Environmental Concerns: "Air India faces scrutiny over carbon emissions."

Air India benefits from a skilled workforce and strong domestic market presence but contends with high fuel costs, intense competition, regulatory challenges, environmental scrutiny, and COVID-19 impacts.

SWOT Analysis



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- ❑ Global brand recognition and extensive market presence, ([118 countries](#)) world's largest fast food chain
- ❑ Strong supply chain management and economies of scale.
- ❑ Experience in menu localization to cater to diverse markets.

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- ❑ Strategic partnership with Air India to enter the premium airline food market.
- ❑ Expanding healthier and premium menu options.
- ❑ Leveraging digital platforms for personalized customer experiences.

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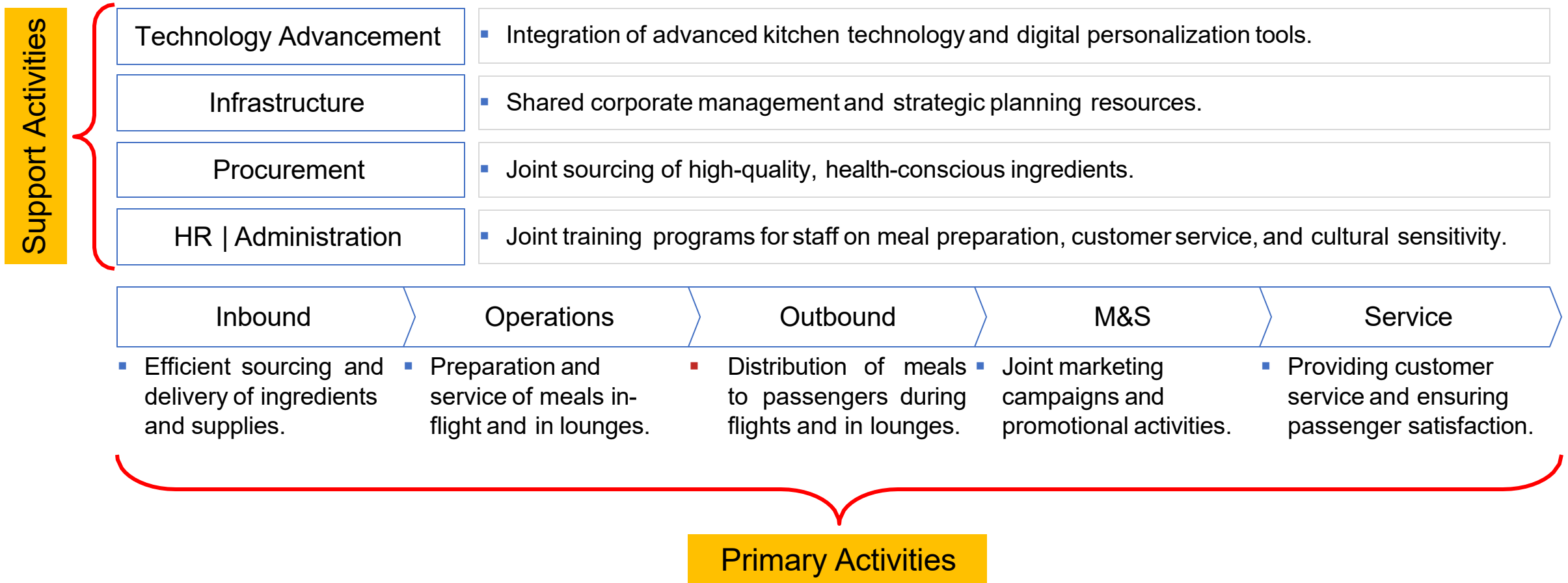
- ❑ Perception as a fast-food chain with unhealthy options.
- ❑ Challenges in repositioning as a premium food provider.
- ❑ Dependence on the U.S. market for a significant portion of revenue.

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- ❑ Intense competition from other fast food and casual dining restaurants.
- ❑ Increasing health consciousness reducing demand for traditional fast food.
- ❑ Economic fluctuations impacting consumer spending on dining out.

McDonald's strong brand and supply chain contrast with its unhealthy image. It can grow via partnerships and healthier menus but faces competition and health trends.

Analysis using tools - Value Chain



Leveraging McDonald's expertise in meal preparation and brand recognition enhances Air India's in-flight dining, boosting customer satisfaction and operational efficiency. Joint marketing and procurement streamline costs and deliver a unique value proposition to travellers.

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Elevating Customer Experience Through Strategic Partnership



Potential Areas of Cost Savings and Efficiency Improvements:

- Bulk Purchasing and Joint Procurement
- Operational Synergies
- Integrated Logistics
- Shared Marketing Resources
- Training Programs

Increasing Customer Value:

- Enhanced Dining Experience
- Personalized Service
- Seamless Brand Integration
- Loyalty Program

Benefits of this partnerships



- Gourmet Dining Options
- Personalized Service
- Cost Savings
- Operational Efficiencies
- Training Programs
- Brand Synergy
- Joint Marketing Campaigns
- Differentiation
- Repositioning McDonald's
- Premium Meal Sales
- Loyalty Programs
- Local and Global Appeal
- Healthier Options
- Technological Integration

Strategic options funnel



How might we jointly promote our collaboration to attract new customers and boost international bookings?

How might we gather and utilize customer feedback to continuously improve our collaborative offerings and overall passenger experience?

How might we transform the airline industry by introducing groundbreaking dining and service innovations through our partnership?

How might we attract new passengers by exceeding their expectations with a gourmet, trend-aligned menu, interactive and personalized dining elements, and seamless integration of Air India's hospitality with McDonald's global brand through strategic marketing?

How might McDonald's strategically reposition itself as a premium food provider by partnering with Air India to offer a unique and upscale in-flight dining experience, thereby transforming its image from a fast-food chain to a provider of high-quality, diverse, and healthy meals?

How might we develop a signature gourmet dish that uniquely combines McDonald's and Air India's culinary styles for in-flight service?

How might we train flight attendants to deliver McDonald's branded in-flight meal service with a focus on premium customer experience?

This strategic question centers on leveraging an Air India partnership to enhance McDonald's, emphasizing unique dining experiences, brand image, and meal quality to attract more customers.

Research- How might



How might we attract new passengers by exceeding their expectations with a gourmet, trend-aligned menu, interactive and personalized dining elements, and seamless integration of Air India's hospitality with McDonald's global brand through strategic marketing?

Research Questions

- Customer Preferences and Expectations
- Competitive Analysis
- Interactive and Personalized Dining
- Brand Integration Strategy
- Operational Feasibility
- Stakeholder Engagement

Possible goals and evaluation criteria

- Curate a gourmet, trend-aligned menu that appeals to diverse passenger tastes.
- Seamlessly Integrate McDonald's Branding : Design co-branded marketing materials highlighting the partnership.
- Ensure McDonald's branding is incorporated tastefully into the dining experience.
- Achieve Operational Efficiency
- Streamline logistics for sourcing and delivering ingredients.

Integrate a gourmet, trend-aligned menu with personalized dining and seamless McDonald's branding, supported by strategic marketing, to attract new passengers and enhance their in-flight experience.

Research- How might



How might McDonald's strategically reposition itself as a premium food provider by partnering with Air India to offer a unique and upscale in-flight dining experience, thereby transforming its image from a fast-food chain to a provider of high-quality, diverse, and healthy meals?

Research Questions

- Market Analysis of Mc Donals : Identify current trends in premium and healthy dining.
- Brand Perception Studies: Conduct surveys to understand current customer perceptions of McDonald's.
- Menu Development Research: Collaborate with chefs to create diverse and healthy meal options
- Partnership Synergies: Study successful co-branding examples in the airline industry.

Possible goals and evaluation criteria

Enhance Brand Image:

- Brand perception surveys, social media sentiment.
- Targets: 20% increase in positive brand sentiment.

Reposition McDonald's as a Premium Food Provider:

- Launch a gourmet, health-focused menu on Air India flights.
- Shift brand perception from fast food to high-quality dining.

Reposition McDonald's as a premium food provider by offering a gourmet, healthy menu on Air India flights, enhancing brand perception and attracting health-conscious customers through strategic branding and marketing.

Business Canvas



Key Partnerships  - McDonald's Corporation - Nutrition and Culinary Experts - Technology Providers - Marketing Agencies - Airports and Airport Authorities	Key Activities  - Gourmet Menu Development - Joint marketing campaigns. - Staff Training - Customer Feedback Key Resources  - Brand Recognition - Culinary Expertise - Technology Platforms - Marketing Platforms - Supply Chain	Value Propositions  - Exceeding Expectations with Gourmet Dining - Interactive and Personalized Dining Experience - Seamless Brand Integration - Enhanced In-Flight Experience	Customer Relationships  - Personalized Service - Loyalty Programs - Feedback Mechanisms - Engagement through Digital Platforms Channels  - In-Flight Services - Airport Lounges - Online Platforms - Travel Agencies	Customer Segments  - Health-Conscious Travelers - McDonald's Loyal Customers - International Travelers - Business and Premium Class Passengers
Cost Structure  - Menu Development and Training - Marketing and Promotions - Logistics and Supply Chain - Customer Feedback Systems		Revenue Streams  - Ticket Sales - Premium Meal Sales - Loyalty Program Partnerships - Co-Branded Merchandise		

Strategic partnership between McDonald's and Air India aims to elevate in-flight dining for health-conscious and premium travellers.

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Risk Management



Risk	Likelihood	Impact	Mitigation Strategies
Menu Customization Challenges	High	High	Conduct thorough research on passenger dietary preferences and trends. Engage with nutritionists and chefs to ensure the menu is diverse, healthy, and appealing to a global audience. Pilot the menu on select routes before a full rollout to gather feedback and make necessary adjustments.
Operational Complexity	Medium	High	Implement comprehensive training programs for staff to handle the new menu items and digital personalization tools. Use streamlined logistics and supply chain management to ensure consistent quality and availability of menu items. Develop a robust IT infrastructure to support digital personalization features.
Technological Failures	Medium	High	Invest in reliable technology infrastructure and provide ongoing maintenance and support. Conduct regular system checks and updates to prevent downtime. Have a contingency plan in place to address any technological issues promptly.
Cost Management	Medium	High	Monitor costs closely and adjust pricing strategies to ensure profitability. Optimize the supply chain to reduce costs without compromising quality. Use data analytics to track the financial performance of the new offerings and make informed decisions.
Brand Image and Cultural Fit	Medium	Medium	Ensure that McDonald's menu items align with Air India's brand of traditional hospitality. Include culturally sensitive options that respect regional tastes and preferences. Use co-branding strategies that highlight the strengths of both brands while maintaining their unique identities.
Customer Acceptance	Medium	Medium	Launch marketing campaigns to educate customers about the new offerings and their benefits. Use customer feedback to continuously improve the menu and personalization features. Offer incentives such as loyalty program points for trying the new menu items.
Regulatory Compliance	Low	High	Ensure all menu items and digital personalization features comply with international aviation and food safety regulations. Regularly audit and update practices to adhere to any new regulatory requirements. Maintain clear communication with regulatory bodies to stay informed about changes.

Key Performance indicators



1. International Passenger Satisfaction: Prioritize high NPS and satisfaction scores from international travelers.
2. Brand Perception in International Markets: Elevate positive sentiment and brand perception among international travelers.
3. Sales Growth in International Routes: Drive sales growth specifically in international routes with gourmet menus and seamless brand integration.
4. Market Share Increase in Key Regions: Expand market share in key international markets through gourmet offerings and integrated branding.
5. Operational Efficiency for International Flights: Optimize cost per meal and supply chain efficiency for international flights.
6. Customized Engagement for International Passengers: Implement personalized dining options and interactive systems tailored for international travelers.
7. Repeat Business and Loyalty from International Passengers: Foster repeat bookings and loyalty program enrollments by consistently delivering exceptional service and amenities to international passengers.

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Conclusion



The strategic partnership between Air India and McDonald's aims to leverage their respective strengths to enhance in-flight dining and attract a broader international customer base. By integrating McDonald's expertise in meal preparation and brand recognition with Air India's traditional hospitality, this collaboration promises to provide a superior travel experience.

Key Outcomes:

- **Enhanced In-Flight Experience:** Offering gourmet, health-conscious meals that align with current food trends, enhancing passenger satisfaction.
- **Operational Efficiencies:** Joint procurement, shared marketing resources, and integrated logistics streamline operations and reduce costs.
- **Brand Synergy:** Combining Air India's traditional hospitality with McDonald's global brand recognition to create a unique value proposition.

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Recommendations



- **Pilot Program Implementation:** Launch a pilot program on select routes to test the new gourmet menu and gather passenger feedback. This will help refine offerings and ensure they meet high standards of quality and safety.
- **Comprehensive Staff Training:** Implement rigorous training programs for Air India staff on new meal preparation techniques, digital personalization tools, and enhanced customer service protocols.
- **Marketing Campaigns:** Develop and execute joint marketing campaigns to promote the partnership, emphasizing the unique dining experience and the benefits of the collaboration. Use both traditional and digital channels to reach a wide audience.
- **Customer Feedback Systems:** Establish robust systems for collecting and analyzing customer feedback to continuously improve the dining experience and address any issues promptly.
- **Regular Reviews and Adjustments:** Conduct regular reviews of the program's performance, making necessary adjustments based on operational data and customer feedback to ensure ongoing success and improvement.

Thank You !!